Chapter 8

Defining Cryptoassets as a New Asset Class

Thus far, we've covered the birth of Bitcoin, the rise of blockchain as a general purpose technology, a brief history of cryptoassets at large, the keys to portfolio management, and how bitcoin would have performed in the context of modern portfolio theory over its first eight years of life. What the innovative investor now needs is a framework to understand the general patterns to be expected of all cryptoassets going forward. To set the foundation for that framework, we need to first define what type of asset a cryptoasset is.

Are bitcoin and its digital siblings to be defined as commodities, as the Commodities Futures Trading Commission seems to believe?[1] Or are they better thought of as property, as the Internal Revenue Service has set forth?[2] The Securities and Exchange Commission has thus far steered clear of applying a specific label to all cryptoassets, though in late July 2017 it did release a report detailing how some